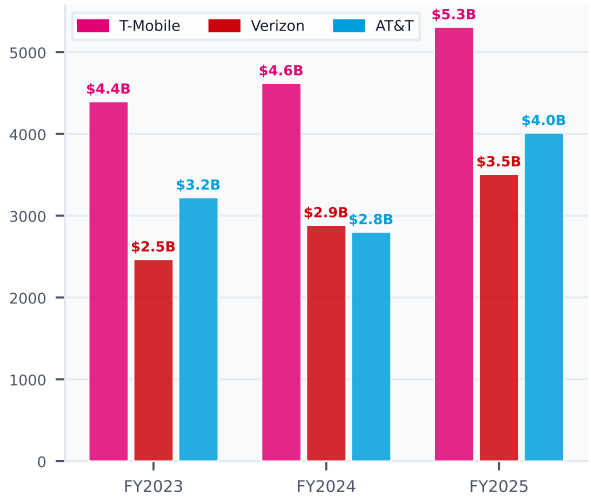


But net leverage alone does not capture who can sustain this — leases, pension, and dividend obligations reshape the ranking.

Metric	T-Mobile	Verizon	AT&T	SIGINT Take
Equipment Gross Loss (FY2025)	5.3B + 0.9B YoY	3.5B + 0.6B YoY	~4.0B + 0.8B [e]	All 3 escalated in 2025. TMUS highest absolute; VZ loss understated (records gross vs peers net).
Equipment Loss as % of Svc Rev	7.4%	4.2%	~5.9% [e]	TMUS most intensive subsidy relative to service base. VZ low ratio partly an accounting artifact.
Postpaid Phone Net Adds (FY2025)	3,294K #1	362K #3 *	1,551K #2	TMUS 9x more adds per \$1B loss. VZ annual hides Q1-Q3 bleed of -414K; Q4 bought +616K.
Subsidy Cost per Net Phone Add	\$1,611 BEST	\$9,685 WORST	~\$2,580	VZ spends 6x more per add. Add ASC 606 svc rev drag & true VZ cost is even higher.
Subsidy Burn Rate [3]	29% BEST	41% WORST	~36%	VZ burns 41 cents of every post-dividend FCF dollar on promos that yielded only 362K adds.
VZ ASC 606 Svc Rev Drag [4]	N/A	Headwind peaks 2025; 2026 setup	Contract assets rising	VZ bill credits amortize vs svc rev over 24-36mo. Peaking drag = potential 2026 svc rev acceleration.
EIP Receivables Strategy [5]	~25% sold; converging to T	100% on-B/S via \$26B ABS	70-80% sold off-B/S	AT&T/TMUS: faster cash via factoring. VZ: most transparent but lowest FCF optionality.
Service EBITDA Margin [1]	55.0%	63.9% BEST	51.3%	VZ best underlying service economics. Note: VZ svc rev depressed by promo credit amortization.
Net Leverage (reported)	2.38x BEST	2.78x WORST	2.46x	Reported only. Does not reflect leases, pension, EIP obligations or dividend burden.
Moody's Adj. Gross Debt (YE24) [2]	\$116.3B	\$170.0B	\$173.6B WORST	AT&T worst once preferred interests at subs (\$15B+) included. ~30% of adj debt is off-B/S items.
Dividend as % of FCF	0% BEST	57% HIGHEST	42%	VZ: majority of FCF pre-committed. TMUS: zero — maximum promotional flexibility.
FCF Deleveraging Rate	22.3%/yr BEST	14.5%/yr SLOWEST	16.5%/yr	TMUS deleverages fastest. VZ slowest — Frontier acquisition cost weighs for 2-3 years.
Interest Coverage	9.0x BEST	7.5x	7.0x LOWEST	AT&T least buffer. Also carries \$1.9B non-cash pension income in 2025 earnings — declines to zero by 2028.
MS-Normalized True FCF [6]	~\$16B	~\$17B	~\$18B	After: TMUS finance lease principal + tower payments; VZ NCI + SBC + finance leases; AT&T pref divs + SBC.

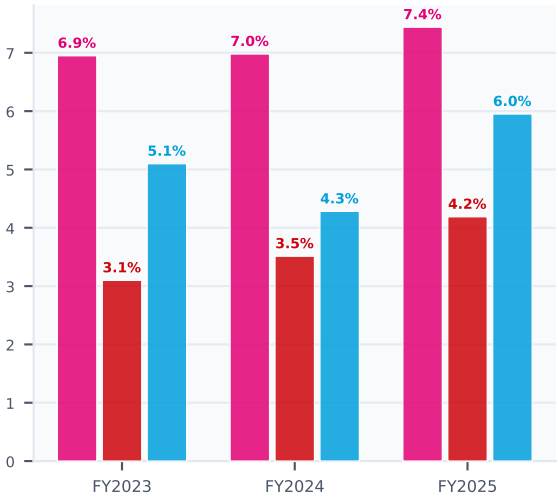
[e] AT&T equip cost estimated (~15% gross loss margin); not separately disclosed. [1] Svc EBITDA Margin = (Adj.)EBITDA + Equip.Loss) / Wireless Svc Rev. [2] Moody's methodology (YE2024): incl. op leases, pension, EIP ABS/securitizations, AT&T preferred interests at subs (~\$15B structurally senior to parent debt). [3] Subsidy Burn Rate = Equip.Gross Loss / (FCF - Dividends). [4] Under ASC 606 bill credits amortize against service revenue over the 24-36mo contract term; VZ contract liabilities as % of consumer wireless equip rev ~50%. [5] AT&T/TMUS receivable sales derecognized from B/S → cash in operating CF; VZ keeps all on B/S via ABS debt. [6] MS-normalized FCF adjusts for: finance lease principal, tower obligation payments, SBC, NCI distributions, capitalized interest. Source: Morgan Stanley, May 2025. * VZ: Consumer lost 414K postpaid phones Q1-Q3 2025; rescued by +616K in Q4 alone.

Equipment Gross Loss (\$M)

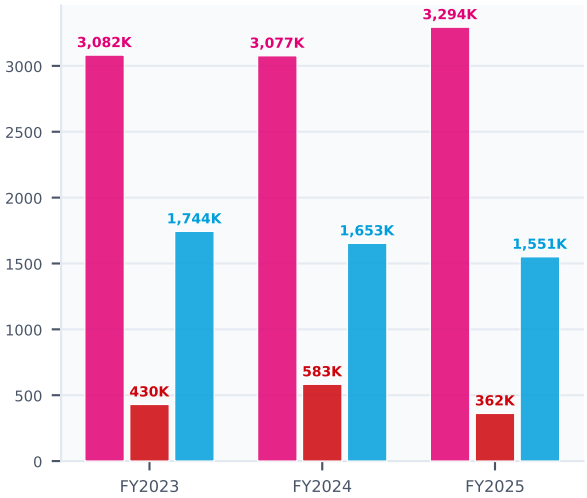


Cost of Equipment - Equipment Revenue = net device subsidy

Equipment Loss as % of Service Revenue

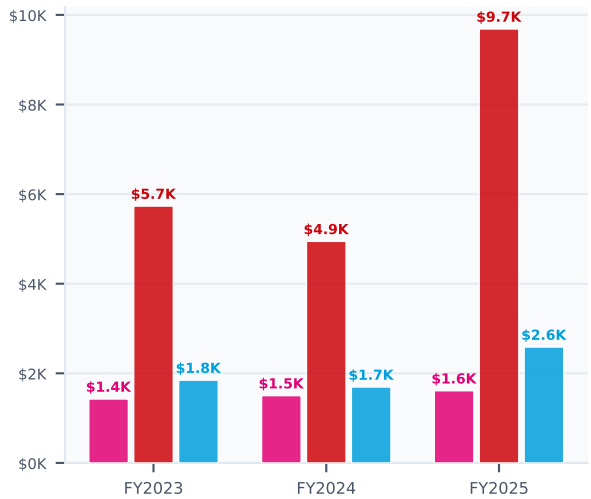


Postpaid Phone Net Adds (000s)



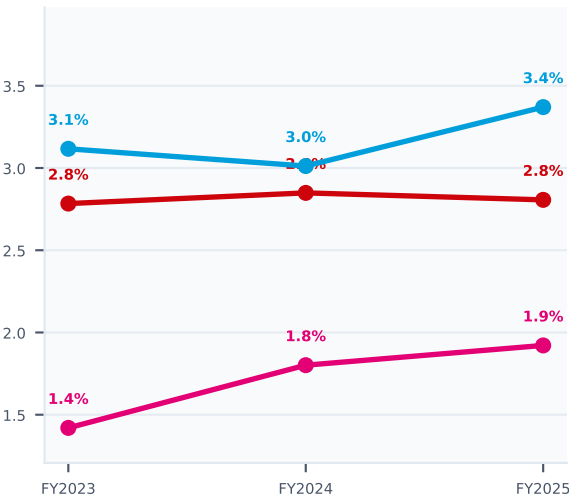
VZ: Consumer + Business combined

Subsidy Cost per Net Phone Add



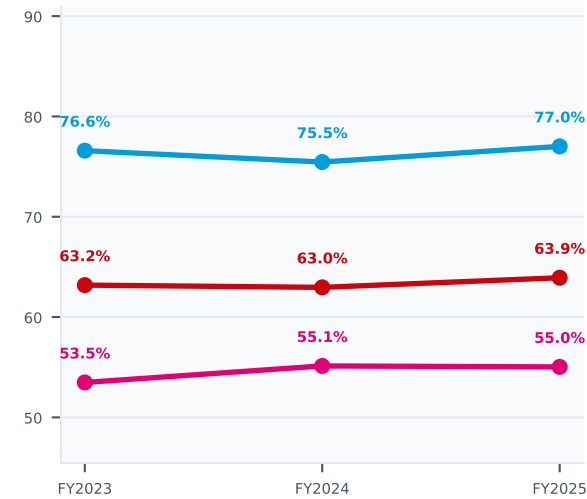
Lower = more efficient acquisition

Bad Debt as % of Service Revenue



Provision for credit losses / wireless svc rev

Service EBITDA Margin (%)



(Adj. EBITDA + Equip. Loss) / Svc Rev — true svc profitability

Best Conversion Efficiency

\$1,611/add

T-Mobile

Best Service Economics

63.9%

Verizon svc EBITDA margin

Lowest Bad Debt Ratio

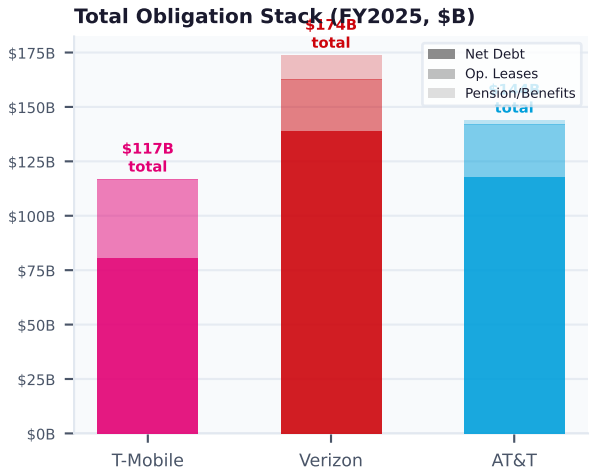
1.9%

T-Mobile (but rising +53%)

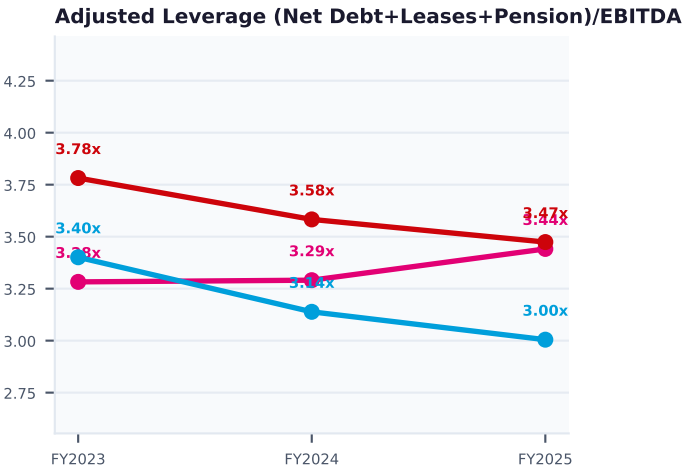
Highest Bad Debt Ratio

3.4%

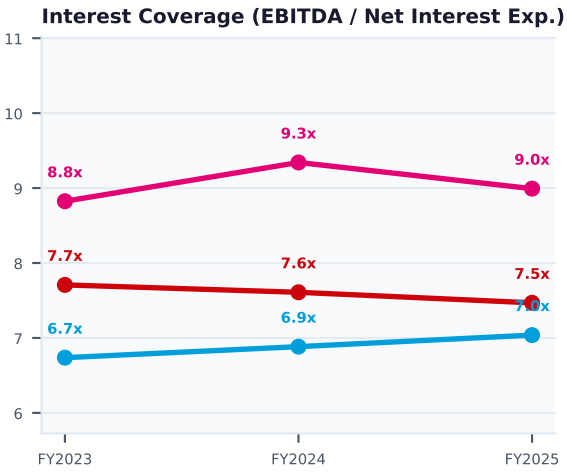
AT&T — EIP financing drag



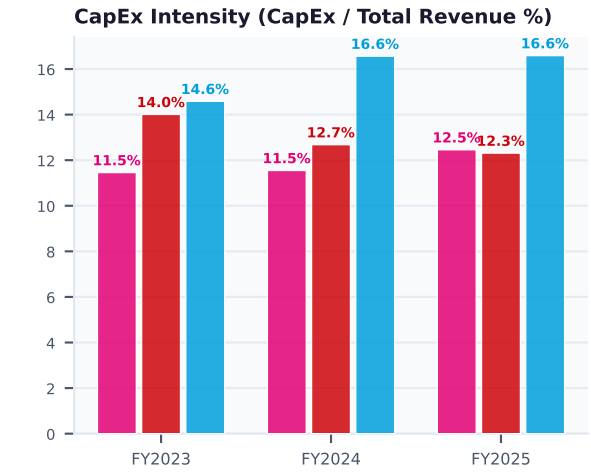
Reported net debt understates true obligation by 30-50%



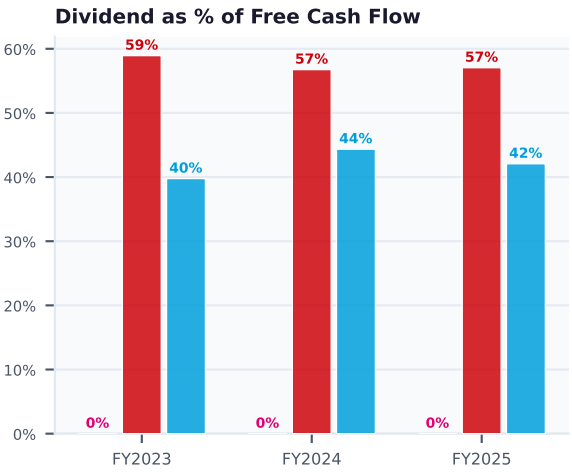
AT&T improves vs VZ once true obligations are reflected



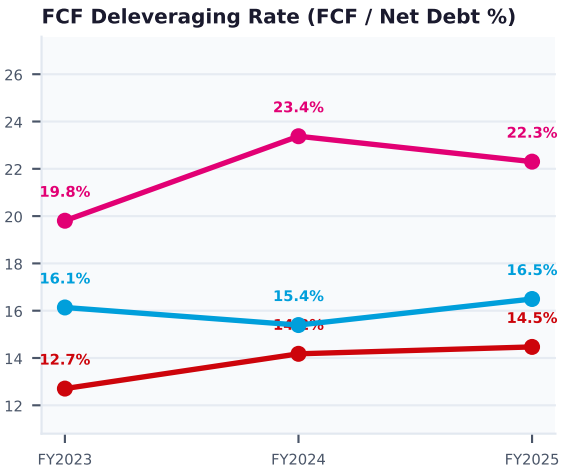
Higher = more buffer; VZ net of \$740M capitalized interest



AT&T highest ongoing investment obligation (16.6%)



FCF committed before any incremental promo spend decision



How fast each carrier can organically reduce net debt

AT&T HIDDEN OBLIGATION DETAIL (FY2025) — Why reported 2.46x leverage understates the true picture:

Reported Net Debt	+ Operating Lease Liabilities	+ Pension Underfunding	+ Spectrum / Unrecognized Tax	= Adjusted Total Obligations
\$117.9B	+\$23.9B	+\$2.1B	+\$10.3B	~\$154B

2.46x EBITDA (reported)

Tower, network & real estate leases

Defined benefit pension + postretirement gap

UTB obligations; timing uncertainty

~3.2x Adj. EBITDA | AT&T FCF covers obligations at 12.6%/yr

THE VERGE ROUNDTABLE — "THE PROMOTION GAME: WHO CAN KEEP PLAYING?"
Published April 2026 | The Verge Technology & Business Desk

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PART I — SETTING THE STAGE

MAX: Every carrier is dangling a free phone at you right now. I want to know who is actually winning this spending contest, and who is writing checks they cannot cash. Michael, make the case for T-Mobile.

ROLLINS: Simply: in 2025, T-Mobile's equipment gross loss was \$5.3 billion. For that, they acquired 3.3 million net new postpaid phone subscribers. The math is \$1,611 per net new customer. Now ask Michael Ng what Verizon paid per net add.

NG: I'll answer that, because the framing is wrong. Verizon's net phone additions were 362,000 in 2025, and their equipment loss was \$3.5 billion — which Rollins's math calls \$9,685 per add. But Verizon's spend is primarily targeted at existing postpaid accounts paying \$147 per month in ARPA. Verizon is protecting the most lucrative customer base in U.S. wireless, not chasing entry-level switchers.

ROLLINS: With respect — that distinction has been the Verizon investor talking point for five years. And I want to add a number that exposes it. Verizon's Consumer segment lost 414,000 postpaid phone subscribers in Q1 through Q3 of 2025. That is not premium retention. That is a bleed. They then spent heavily in Q4 to produce 616,000 net adds in one quarter — Black Friday, iPhone deals — and rescued the annual number to a positive 362,000. You do not call nine months of subscriber losses a deliberate strategy.

NG: Michael, 616,000 adds in a single quarter is more than AT&T's combined Q3 and Q4. You do not stumble into that number. The Q1 to Q3 softness was a deliberate pull-back on unprofitable promotions. Verizon chose margin over volume for three quarters, then activated at the highest-value

carries tower obligations from failed sale-leaseback transactions at an 11.6 percent effective interest rate — against 4 percent on its regular long-term debt. The artificially high rate means the obligation amortizes slowly, and interest expense is overstated versus economic cost. True normalized FCF is closer to \$16 billion. Still the best growth trajectory. But the headline flatters.

NG: AT&T's FCF requires its own annotation. AT&T operates a \$6.3 billion vendor financing program that extends payment terms to suppliers. When usage increases, operating cash flow is boosted. When usage decreases — as it did in 2023, when AT&T reduced the program — reported FCF fell by \$3.4 billion in a single year due entirely to this financing mechanic. The 2025 figure of \$19.4 billion is real cash, but its year-to-year sustainability is partly a function of whether management maintains or draws down supplier financing. That volatility should trade at a discount to T-Mobile's structurally cleaner cash generation.

MAX: So the final ranking on balance sheet quality and cash flow transparency — has it changed?

ROLLINS: T-Mobile first, by a wider margin than we stated earlier. Cleanest cash flow, no pension exposure, no preferred interests in subsidiaries, no vendor financing complexity. Moody's adjusted leverage of 3.45 times with the fastest deleveraging rate and zero dividend commitment. On a promotional capacity basis, there is no close second.

NG: I agree on T-Mobile's financial quality. What I would add is this: the accounting complexity at AT&T is not all bad news. The pension income cliff creates a near-term earnings headwind — but AT&T is best positioned to benefit from bonus depreciation reinstatement, which Morgan Stanley estimates could meaningfully accelerate FCF as soon as legislation passes. AT&T's cash tax rate is rising as bonus depreciation phases out — \$1.5 billion